

In the forthcoming discussion on collateralized loans, we will illustrate the common slashing mechanism of *liquidation*, in which potential agents receive an incentive to offload collateral by auction or direct sales and any remaining funds stay with the original owner. An example of slashing due to market changes not related to debt is an algorithmic stablecoin. This system might directly reduce a user's token balance when the price depreciates to return the supply-weighted price to, say, \$1.

Direct Rewards and Keepers

Direct rewards are positive incentives that include payments or fees associated with user actions. As we mentioned already, all Ethereum interactions begin with a transaction, and all transactions begin with an externally owned account. An EOA, whether controlled by a human user or an off-chain bot, is (importantly) off chain, and thus autonomous response to market conditions is either expensive (costs gas) or technically infeasible. As a result, no transaction happens automatically on Ethereum without being purposely set in motion.

The classic example of a transaction that must be set in motion is when a collateralized debt position becomes undercollateralized. This use case does not automatically trigger a liquidation; the EOA must trigger it and generally receive a direct incentive to do so. The contract then evaluates the conditions and liquidates or updates if everything is as expected.